BUDGET REQUEST · FY2027

Core Modernization

A $6.2M investment to retire the mainframe — and stop paying $9M a year to keep it alive.

THE ASK

$6.2M

over 18 months to migrate Halcyon's core banking off the mainframe and onto the cloud platform.

We're asking for $6.2M to retire a mainframe that costs $9M every year.

Halcyon's core banking still runs on a 1990s mainframe. It's stable but expensive, slow to change, and staffed by a shrinking pool of specialists. A one-time $6.2M migration eliminates a recurring $9M annual cost.

- The mainframe consumes 31% of the technology operating budget.
- The migration pays back in under nine months on run-cost alone.

The mainframe isn't just costly — it's a growing operational risk.

Beyond the run cost, the platform throttles every product launch and depends on engineers who are retiring faster than we can replace them. Each year we wait, the migration gets harder and the risk gets worse.

- 6 of our 9 mainframe specialists are eligible to retire within three years.
- Every new product feature waits a median of 14 weeks on mainframe changes.

Where the $6.2M goes, and what each line buys.

01	**Migration engineering**	18-month delivery team to port core ledger, payments, and account services.	$3.1M
02	**Cloud platform & tooling**	Landing zone, data pipelines, and the parallel-run environment.	$1.6M
03	**Dual-run period**	Running both systems in parallel for two quarters to de-risk cutover.	$0.9M
04	**Contingency**	10% reserve against scope and integration surprises.	$0.6M

The savings are recurring; the cost is one time.

01	**Mainframe license & support**	Eliminated entirely at cutover.	$4.8M / YR
02	**Specialist staffing**	Reduced to a small cloud-platform team.	$2.6M / YR
03	**Disaster-recovery site**	Replaced by cloud-native multi-region failover.	$1.1M / YR
04	**Change-request overhead**	Removed as features ship on the modern platform.	$0.5M / YR

THE RECURRING PRIZE

$9M

in annual run cost eliminated once the mainframe is retired — every year, in perpetuity.

ROI · FY2027-2029

The investment pays back in nine months and compounds from there.

9 mo

Payback period

ON RUN-COST ALONE MODELED FINANCE

$21M

3-year net savings

AFTER THE $6.2M SPEND MODELED CFO

14 → 2 wk

Feature lead time

OFF THE MAINFRAME TARGET PRODUCT

RISK REDUCTION · POST-MIGRATION

The migration also retires risk that doesn't show up on the run-cost line.

0	**<1 hr**	**6 → 1**	**99.99%**
SINGLE POINTS OF FAILURE	RECOVERY TIME OBJECTIVE	RETIRING-SKILL DEPENDENCY	TARGET AVAILABILITY

We ask the committee to approve $6.2M for FY2027 core modernization.

APPROVE THE MIGRATION

$6.2M one time eliminates $9M a year and de-risks the core. Payback in 9 months.

DEFER ANOTHER YEAR

Adds $9M of run cost, loses two more specialists, and raises the eventual migration cost.

RAJ PATEL · VP PLATFORM ENGINEERING · PLATFORM@HALCYONBANK.EXAMPLE

Stop renting the past.
Buy the future once.